

The Circuit Group, Inc.

Due Diligence Briefing — Business Model, Portfolio, Financing & Deal Structures

Electronic music management, IP & services collective (Seven20 × AYITA) · Los Angeles / Miami / New York / London
Compiled entirely from public trade-press reporting as of August 2026. The company is private and publishes no financial statements. All deal values are as reported; undisclosed terms are marked as such.

1. Executive Summary

The Circuit Group is the October 2023 combination of electronic music's two most powerful management firms — **Seven20** (Dean & Jessica Wilson; deadmau5) and **AYITA** (Brett Fischer, David Gray, Harvey Tadman; FISHER, Chris Lake) — built around a contentious thesis: the management company takes **equity of up to 50% in its clients' IP portfolios**, then builds the service stack (label services, publishing, events, indie-services platform, catalog capital) to appreciate that IP.

In three years it has assembled a full-stack music company, culminating in **Circuit Capital** (Nov 2025): a catalog and music-IP acquisition vehicle with **access to \$500m+ of capital from Create Music Group (CMG)**, the Flexpoint Ford-backed company last valued at \$2.2bn. The group's ecosystem has already transacted at scale — most visibly the **~\$55m sale of the deadmau5/mau5trap catalog to CMG** (March 2025), a deal in which the group's CEO sat on the artist's side as manager while CMG became his firm's fund backer eight months later.

Overall read: a credible consolidation of the electronic-music value chain with genuine flywheel logic, but with material governance questions (manager-as-co-owner; circular related-party dealings with CMG), heavy key-person and genre concentration, and a financing headline ('access to \$500m') that is a backer's balance-sheet commitment, not a closed blind-pool fund.

2. Company Snapshot

Attribute	Detail
Founded	October 2023 (umbrella over Seven20 + AYITA)
Founders	Dean Wilson (CEO; deadmau5's longtime manager), Jessica Wilson, Brett Fischer, David Gray, Harvey Tadman
Offices	Los Angeles, Miami / New York, London
Core model	Artist management + equity participation of up to 50% in client IP portfolios
Divisions	Management (Seven20, AYITA) · Label Services (2024) · Circuit Publishing w/ Kobalt (2024) · Red Wire Publishing (2025) · Circuit Capital (2025) · Beat Switch Music Services (public 2026)
Key executives	James Sutcliffe, Chief Strategy Officer (ex-Ministry of Sound, LIVENow, Monster Energy); Ian Massoth, Director of A&R
JVs / partnerships	Defected Records (transatlantic services swap) · CtrlFrk (UK mgmt JV) · Buena Artists / James Ahearn (global mgmt JV) · ALT:Vision (artist development JV) · Kobalt (publishing admin)
Ownership / financials	Private, principal-funded; no disclosed outside equity, revenue or profitability

3. Business Model

Traditional management economics (15–20% commission on artist income) are augmented by an **equity model in artist IP**: Circuit seeks up to 50% ownership of clients' IP portfolios and in exchange invests capital and operational infrastructure to grow that IP across recordings, publishing, live/events, brands and technology. The manager stops being an agent-for-fee and becomes a co-owner and operator of artist businesses.

The flywheel: management relationships originate IP → group takes equity → in-house services (labels, publishing, events, Beat Switch) raise the IP's cash flows → Circuit Capital provides acquisition capital or liquidity at the top → proceeds recycle into the roster. Each vertical feeds deal flow to the others — closer to an 'Ithaca Holdings for dance music' than a festival roll-up.

Revenue stream	Vehicle	Status
Management commissions	Seven20, AYITA + JV rosters (CtrlFrk, Buena, ALT:Vision)	Core, mature
IP equity participation	Up to 50% stakes in client catalogs, labels, brands	Core thesis; stakes undisclosed
Label services	Label Services division (A&R, marketing, distribution)	Since Jun 2024
Publishing	Circuit Publishing / Red Wire (Kobalt admin; 300+ copyrights; clients incl. FISHER, Chris Lake, Sammy Virji, Diplo, bbclose)	Since Oct 2024 / Oct 2025
Indie artist & label services	Beat Switch: distribution, rights mgmt, royalty accounting, publishing admin, sync, DSP pitching, Web3 services; 20+ labels	Public Feb 2026 (ran quietly ~24 months)
Catalog acquisition & artist funding	Circuit Capital — catalogs, labels, publishers; back-catalog buys and futures funding for managed artists	Since Nov 2025
Events / brand IP	Client event brands (e.g. Under Construction — FISHER × Chris Lake); event & technology services in Defected partnership	Ongoing

4. Portfolio

Segment	Holdings / clients
Management roster	deadmau5 · FISHER · Chris Lake · Cloonee · Aluna · NERO · HoneyLuv · Ninajirachi, plus development artists via JVs
Publishing	300+ copyrights at Red Wire launch; first signings: Stevie Appleton, Nariman Akrami, Alex Metric, Secondcity, Tommy Cooperman (HILLS), Galo, RØZ
Beat Switch labels (20+)	Black Book Records (Chris Lake), Catch & Release (FISHER), COS Recordings, DHB, Diviine, Plant X, Famous When Dead, CDC, New World, Konkrt, Techne, Horizn, Eardrums, Kopa, Blowout Beats, Hell Bent
Catalog interests	Catalogue-acquisition business launched at founding 'with deadmau5 and more' (stakes undisclosed); several electronic catalog acquisitions confirmed Sep 2025 (targets undisclosed); future ownership concentrates in Circuit Capital
Brand / event IP	Under Construction (EDC/Coachella headline B2B brand; 12,000-cap Hollywood Blvd takeover 2023); Black Book ecosystem; mau5trap-adjacent activity (mau5trap catalog itself now owned by CMG)

Concentration note: the economic engine is visibly FISHER / Chris Lake / deadmau5. The tech-house touring economy is at or near cycle peak; the development bench is real but unproven at headline scale.

5. Deal Economics — What Has Actually Been Paid

Circuit itself discloses no purchase prices: its founding IP-stake deals and its September 2025 catalog acquisitions are all undisclosed. The hard numbers sit in the surrounding ecosystem — chiefly Create Music Group, now the group's fund backer — and in the capital committed to the platform.

Deal	Date	Value	Assets / scope	Structure
Circuit founding IP stakes ('with deadmau5 and more')	Oct 2023	Undisclosed	Up to 50% of client IP portfolios	Equity-for-services/capital swap inside management relationship
Circuit electronic catalog acquisitions	Sep 2025	Undisclosed	'Several' electronic catalogs	Direct catalog purchases pre-Circuit Capital
deadmau5 + mau5trap → CMG	Mar 2025	~\$55m	Masters + publishing, 4,000+ tracks incl. mau5trap label catalog	Full buyout + JV for future deadmau5/mau5trap releases (futures attached)
!K7 Music → CMG	Apr 2025	Undisclosed	Berlin indie label (DJ-Kicks series), services business	Whole-company acquisition
Circuit Capital launch backing	Nov 2025	Access to \$500m+	Mandate: catalogs, labels, publishers, music-driven ventures; artist back-catalog buys and futures funding	Access to CMG balance-sheet capital — not a closed blind-pool fund; discretion/economics undisclosed
CMG's own capitalisation	2024–Mar 2026	\$165m at \$1bn; then \$450m (equity+debt) at \$2.2bn	Growth capital	Flexpoint Ford-led rounds funding the catalog buying spree

Reading the numbers: the deadmau5 transaction is the only disclosed price point directly touching the Circuit roster — ~\$55m for 4,000+ works spanning masters and publishing plus a go-forward JV. No revenue figures were published, so an implied multiple cannot be computed; but electronic catalogs typically clear below iconic pop/rock multiples because streaming decay curves are younger and buyer synergies (e.g. CMG's YouTube monetisation engine) rather than passive yield drive pricing.

6. How Circuit and Its Ecosystem Structure Deals

Four structural templates recur across the group's dealmaking:

- 1. Management + IP equity ('the 50% model').** Circuit's founding structure: the management company invests capital and services into a client's IP portfolio in exchange for up to 50% ownership, converting the manager from commission agent to co-owner. Consideration mix (cash vs. services vs. advance) is not public — a key diligence item, as is evidence of independent artist counsel.
- 2. Buyout + futures JV.** The deadmau5/CMG template: full catalog sale (masters + publishing) with a joint venture attached for future releases, keeping the artist economically engaged post-sale. This mirrors Warner's ~\$100m David Guetta deal (catalog + go-forward agreement) and is the dominant structure for active electronic artists, who are still producing peak-value work.
- 3. Futures funding / advances.** Circuit Capital's stated mandate includes 'futures funding deals' for managed artists — advancing capital against future royalties/output. Economically this resembles a securitised advance; when the same group manages the artist, sets the valuation and provides the capital, pricing discipline requires external verification.
- 4. Strategic services swap.** The Defected partnership: reciprocal services (Defected's UK/EU label-publishing-events infrastructure for Circuit's North American events/technology/IP capability) with no disclosed cash consideration — expansion at low capital cost while both sides retain ownership.

7. Peer Benchmark — How Comparable Deals Have Been Structured

Buyer / platform	Deal(s)	Value	Structure
Pophouse Entertainment (ABBA-linked, Stockholm)	Swedish House Mafia (2022); Avicii (2022); KISS (2024); Tina Turner (2026)	KISS reported \$300m+; others undisclosed	Majority or full acquisition of masters + publishing incl. writer's/artist shares, plus brand-development JV with the artist (avatar shows, experiences). 75% stake in Avicii catalog. 'Active management' model — buy the IP, then build new experiences on it
BEAT Music Fund (Armada Music; backed by Pinnacle Financial Partners)	KMS/Kevin Saunderson, ARTY, King Street Sounds, Chocolate Puma, Markus Schulz, Robbie Rivera, Tiga, Jax Jones (2023–25)	\$100m intended deployment in first two years	Genre-specialist fund attached to a label group; buys masters, publishing, artist shares and writer shares; exploits via Armada's label/publishing infrastructure. Closest structural comp to Circuit Capital
Create Music Group	deadmau5/mau5trap (\$55m, 2025); !K7 (2025); other electronic catalogs	\$55m disclosed; rest undisclosed	Strategic buyer: buyout + futures JV; monetisation synergy (YouTube/rights-claiming engine) rather than passive yield
Warner Music Group	David Guetta (2021)	~\$100m	Major-label buyout of recorded catalog + deal for future releases
Vine Alternative Investments	Calvin Harris publishing (2020)	~\$90–110m	Financial buyer; publishing-only (150+ songs); passive yield orientation
HYBE (via HYBE America)	Ithaca Holdings / Scooter Braun (2021)	\$1.05bn	100% acquisition of a manager-equity holdco (SB Projects + Big Machine). ~\$161m in shares to 39 insiders; artists incl. Bieber and Grande received ~\$11m each in equity — the precedent both for manager-as-owner economics and for aligning artists via equity
Hipgnosis / Blackstone	2018–21 buying spree; take-private by Blackstone (2024)	Portfolio-scale	Public blind-pool catalog fund model; price-setter of the low-rate era, since repriced — the cautionary structural comp

Market pricing context (Shot Tower Capital): publishing transactions above \$20m enterprise value averaged **16.1× net publisher share in 2024** (16.7× in 2023); 'iconic' deals above \$200m averaged ~14.2× net label share (15.2× in 2023). Multiples have moderated from the 2021 Hipgnosis-era peak under higher rates. Electronic/dance catalogs generally price below these blended averages, with strategic synergy buyers (CMG, Armada/BEAT) setting the marginal price rather than yield funds.

Where Circuit sits vs. peers: Pophouse buys mature IP and builds experiences; BEAT buys dance catalogs into a label machine; HYBE bought the manager itself. Circuit is attempting all three at once — own the manager, take equity in the artist IP early (pre-catalog-sale), and control the exit/acquisition capital via Circuit Capital. That end-to-end position is its differentiation and its central conflict of interest.

8. Risk Assessment

Risk	Severity	Notes
Manager/owner conflict of interest	High	Taking 50% of client IP while acting as fiduciary manager; artist-side counsel and consent mechanics unverified publicly
Related-party circle with CMG	High	CEO manages deadmau5 → deadmau5 catalog sold to CMG (~\$55m) → CMG backs Circuit Capital → CMG holds JV for future deadmau5 releases. Valuation discipline between 'manager', 'buyer' and 'financier' is the single most important item to verify
Counterparty (CMG) litigation / reputation	Med-High	APG suit (Jan 2025: alleged wilful copyright infringement, 'bogus' contracts, poaching); Cinq Music suits (2022, YouTube claims); Billboard 2022 reporting on YouTube royalty-claiming. Unadjudicated, but live. CMG solvency looks strong post-\$450m raise
'Access to \$500m' ≠ committed capital	Medium	Deployment discretion, approval rights and fee/carry economics undisclosed; headline may overstate firepower
Key-person concentration	High	Dean Wilson, Brett Fischer; loss of any anchor artist (deadmau5, FISHER, Chris Lake) would impair the flywheel
Genre / cycle concentration	Medium	Tech-house touring economy near cycle highs; electronic catalog values less seasoned in secondary markets
Artist churn / lock-in disputes	Medium	Management contracts are short; IP equity creates lock-in but also acrimony risk if relationships sour
Opacity	Medium	No public financials; every revenue figure requires direct disclosure

9. Priority Requests for a Formal Process

- Corporate structure chart (Circuit Inc. / Seven20 / AYITA / Red Wire / Beat Switch / Circuit Capital GP) and cap tables.
- Circuit Capital documentation: committed vs. access capital, investment discretion, CMG approval rights, fees/carry, related-party transaction policy.
- Template artist IP-equity agreements and evidence of independent artist representation in each 50% stake deal.
- Revenue by segment (management / services / publishing / catalog income) and Beat Switch unit economics.
- deadmau5–CMG catalog sale process record: who ran the sale, competing bids, any fairness opinion.
- Litigation and background searches on all five founders; mapping of CMG-related exposure.

10. Principal Sources

Music Business Worldwide (Circuit Capital launch; founding; Kobalt deal; Label Services; Beat Switch; ALT:Vision JV; deadmau5 catalog sale; !K7; CMG raises; APG v. CMG) · Billboard Pro (Circuit Capital; founding; IP-development profile; CMG YouTube royalties investigation 2022; Shot Tower multiples) · CelebrityAccess (founding; Label Services; publishing launches; Beat Switch) · Create Music Group press · Music Week (Kobalt; CtrlFrk JV; catalogue business; Pophouse/KISS) · Digital Music News · Music Ally (Circuit Capital; Cinq v. CMG; Pophouse/Tina Turner) · IMS Dubai announcement · Kobalt Music press · Variety (KISS \$300m; Ithaca/HYBE) · Rolling Stone (deadmau5 deal) · Dancing Astronaut (Calvin Harris/Vine) · Armada Music press (BEAT Music Fund) · Pophouse press (Swedish House Mafia, Avicii). All information from public reporting as of August 2026; no non-public information used.